

after its adoption as official government policy; the U.S. adopted the North American Free Trade Agreement (NAFTA) and the General Agreement on Tariffs and Trade (GATT), which was signed by 117 nations; after decades of violence, the Irish Republican Army ceased military operations in Northern Ireland, and the English and Irish Prime Ministers signed a peace treaty; the Catholic Church entered into an accord with the Jewish state in which the Vatican and Israel, enemies for nearly 2000 years, officially recognized one another for the first time; Russia, Ukraine and the U.S., after 40 years of mutual nuclear threat, promised in a treaty to stop aiming warheads at each other; China and Russia, enemies for decades, signed a peace pact vowing not to use force against one another; Presidents Clinton and Yeltsin met in a summit that was described as a "virtual lovefest" by *USA Today*; Yeltsin stated flatly in a speech at the Library of Congress: "We will never fight the United States"; France even invited Germany to parade its soldiers down the Champs-Élysées in Paris on France's biggest national holiday in a symbol of postwar reconciliation!

As a result of all this wonderful news, the Consumer Confidence index stands near its highest levels of the past 25 years. The vast majority of citizens, public and private, are bullish on the market, the economy and the future, and express joy that a new golden age of world peace and prosperity has begun. No conventional economist or political analyst today is anticipating major trouble. The majority of pundits are saying that all these changes have created "favorable fundamentals" that are bullish for stocks. Understanding that "bullish" means that it is time to buy stocks because they will go higher from here, ask yourself, *are these "fundamentals" bullish or bearish?*

In forming our answer, let's compare today's conditions with those of the previous times this century that it was time to buy and sell stocks. The 1932-1937 bull market began in the depths of the deepest depression in nearly a hundred years and ended after four years of economic expansion on the hope that the worst was over. The 1942-1966 upwave began in the grimmest days of World War II and ended in an environment of peace, prosperity and cultural creativity. The current advance began in 1974 in the depths of recession, the highest inflation in thirty years, and shortly after the first time in U.S. history that a scandal forced a Presidential resignation. It has reached a point today at which factories are running at full capacity, and peace and global capitalism appear assured.